Example 8: Rent control

Some policymakers became unhappy at high rents, and imposed rent controls. The coercive power of the state was used to force rents to a low level. But supply curves slope upwards: when the price is driven down, the supply of housing available on rent declines. Shortages of housing will inevitably develop when rent control is imposed.

The policymaker who sets out to make rented housing cheaper for the middle class makes rented housing unavailable for the middle class.

There is a law of one price

The same object cannot command two different prices. If this is the case, there will be *arbitrage*. If gold is cheap in Mumbai and expensive in Delhi, people will buy gold in Mumbai and sell it in Delhi. This arbitrage tends to make the price difference go away. Similarly, if gold is cheap in Dubai and expensive in Mumbai, people will buy gold in Dubai and sell it in Mumbai.

Many governments have experimented with ‘dual exchange rate regimes’ where the government forces one exchange rate for importers and another for exporters. These schemes never work.

Policymakers of a socialist vintage are hostile to the word *arbitrage*. However, arbitrage is the basic human instinct of removing the difference between two different prices for the same thing, and earning a profit while doing this.

The policymaker does not control the price

Every now and then, policymakers see a market price that they do not like. Perhaps the price of wheat is too low in the eyes of a policymaker, perhaps the price of wheat is too high in the eyes of a policymaker, perhaps the price